

Health Claims Forum - Financial Assessment for Health Claims : Challenges in 2023 and beyond



Meliora Solutions FZCO

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Neil Fletcher - Biography



Neil specialises in the financial assessment / forensic accounting for income protection, critical illness and life/death claims. Neil has 20+ years' claim assessment experience gained working in-house for insurers, and as a consultant for insurers and reinsurers. Neil uses this experience to help insurers and re-insurers establish an accurate and fair assessment of income/earnings.

Neil also designs and delivers face to face and remote/virtual practical, skills based financial assessment training for claims assessors and underwriters. In 2023, Neil will be launching an on-line school that will offer a financial assessment for claims training program. This program will include a combination of a workbook, e-learning modules, case studies and live discussions.

Neil is a graduate of Monash University (B. Bus - Accounting), Charles Sturt University (Grad. Dip. Fraud Investigation), a Certified Practicing Accountant (CPA Australia) & a Certified Fraud Examiner (CFE).

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Agenda

- Some Common Claims Challenges for 2023
- Case Studies
- Discussion and debate



2023 - Common Claim Challenges

1. SEISS
2. Claimant working overseas
3. Dividends from accumulated profit
4. Multiple Entities – which one is relevant



2023 Claim Challenge

1. SEISS – income or grant?



CASE STUDY 1 – IP CLAIM - SEISS



Case Study 1 – Background

- Occupation – Musician
- Employment Status – Self-employed
- Policy Inception – 10 July 2015
- Benefit – GBP 2,200 per month
- Deferred Period – 1 month
- DOI – 8 June 2021

Calculate PDI

- What financial information to request?
- What adjustment needs to be made?



Tax Calculation 5 April 2021

What is Claimants PDI in 12 months prior?

Client Name:

Client Ref:

Report: Tax calculation

UTR:

Assessment Year: Year to 5 April 2021

£

£

£

£

Tax Calculation (SA302)

Income received (before tax taken off)

Pay from all employments	721
Profit from self-employment	16,099
UK interest	47

Total income received	16,867
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Less Personal Allowance	(12,500)
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Total income on which tax is due	4,367
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Tax Return Sections – What is PDI?

Business income – if your annual business turnover was below £85,000

9 Your turnover – the takings, fees, sales or money earned by your business

£ 1 0 6 1 8 . 0 0

10 Any other business income (include coronavirus support payments such as CJRS, but not SEISS)

£ . 0 0

Allowable business expenses

If your annual turnover was below £85,000 you may just put your total expenses in box 20, rather than filling in the whole section.

15 Repairs and maintenance of property and equipment

£ . 0 0

20 Total allowable expenses – total of boxes 11 to 19

£ 4 8 5 6 . 0 0

Calculating your taxable profits

Your taxable profit may not be the same as your net profit. Please read the 'Self-employment (short) notes' to see if you need to make any adjustments and fill in the boxes which apply to arrive at your taxable profit for the year.

27 Goods and/or services for your own use

£ . 0 0

27.1 Self-Employment Income Support Scheme grant

£ 1 0 4 7 7 . 0 0

28 Net business profit for tax purposes (if box 21 + (boxes 26 to 27.1) minus (boxes 22 to 25.1) is positive). Or if you've completed box 10.1 (box 21 + box 26 + box 27 + box 27.1 minus box 10.1)

£ 1 6 0 9 9 . 0 0

29 Loss brought forward from earlier years set off against this year's profits – up to the amount in box 28

£ . 0 0

30 Any other business income not included in box 9 or box 10

£ . 0 0



CASE STUDY 2 – GROUP LIFE CLAIM



Case Study 2 – Background

- Occupation – Company Director
- Business – Animal Kennel
- Group Life Policy Inception – 1 June 2020
- Declared Salary – GBP 25,000
- Insured Benefit: 10 X times “Salary”
- Salary: *Total earnings in the last 12 months as at the date of death*
- Salary Increased 1 August 2020 – GBP 50,000
- Date of Death: 25 Feb 2021
- Cause – Liver Cancer

1. What do you make of these facts?
2. What would you enquire about?
3. What is Total Earnings?
4. What information would you request for financial aspect?



Case Study 2 – Initial Claim Form

Summary of statements in writing by Insured's Spouse

In 12 months prior, Company X Ltd paid to Mrs Y a Salary plus a Bonus totalling GBP 54,150; that these were declared to HMRC and that the relevant Income Tax and NI was paid.

- Insured's Spouse provided a copy of the ITR that showed this.
- Initially refused to provide pay slips, as the Company did not issue them. Then, Pay Slips were subsequently provided.



Case Study 2 – Analysis of Bank Statements Vs Pay Slips

Month	Net Paid	Date Due	Claimed Bank Transfer	Net Per Pay Slip	Gross Per Pay Slip
Mar-21	166	05/03/2021	5,830.00	9,602.83	18,333.33
	166	05/03/2021			
Feb-21	166	26/02/2021	664.00	2,475.33	3,333.33
	166	19/02/2021			
	166	12/02/2021			
	166	05/02/2021			
Jan-21	166	29/01/2021	830.00	2,475.33	3,333.33
	166	22/01/2021			
	166	15/01/2021			
	166	08/01/2021			
	166	04/01/2021			
Dec-20	166	29/12/2020	664.00	2,422.53	3,333.33
	166	18/12/2020			
	166	11/12/2020			
	166	04/12/2020			
Nov-20	166	27/11/2020	664.00	2,422.73	3,333.33
	166	20/11/2020			
	166	13/11/2020			
	166	06/11/2020			
Oct-20	166	30/10/2020	830.00	2,422.73	3,333.33
	166	23/10/2020			
	166	16/10/2020			
	166	09/10/2020			
	166	02/10/2020			
Sep-20	166	25/09/2020	664.00	2,555.46	3,333.33
	166	18/09/2020			
	166	11/09/2020			
	166	04/09/2020			
Aug-20	166	28/08/2020	664.00	2,822.73	3,333.33
	166	21/08/2020			
	166	14/08/2020			
	166	07/08/2020			
Jul-20	2945.53	31/07/2020	16,775.53	2,945.53	3,333.33



Case Study 2 – Forensic Assessment

Date	Declared Salary to Insurer	Total Director's Salaries in Financial Accounts	Total Salary into Bank Account	Company Expenses paid for by Insured	Personal expenses paid for by Company	Company Profit or (Loss)	Accumulated Losses	Directors Loan Balance
30-Jul-19								
01-Jun-20	£ 25,000.00			£53,170.00	£33,256.00			£ 151,948.00
24-Jun-20	£ 50,000.00							
YE 30/07/2020		£ 10,423.00		£55,696.00	£34,716.00	£ 4,604.00	£ (50,603.00)	£ 165,631.00
30-Apr-21				£66,018.00	£ 8,230.00			
01-May-21	£ 55,000.00							
YE 30/07/2021		£ 49,667.00	£11,744.00	£73,435.00	£11,130.00	£(56,887.00)	£(107,490.00)	£ 254,074.00



CASE STUDY 3 – IP CLAIM COMPANY DIRECTOR & SHAREHOLDER OF VET PRACTICE



Background to Case 3

- The claimant operates a veterinarian practice.
- Date of incapacity is 30 March 2021.
- Claim form lodged in July 2021.
- The claimant has an individual IP policy with a benefit of £32,000 to age 65.
- LOB is 65% of the PDI.
- On the claim form the Claimant stated They are employed by a company called BLUE Ltd.
- They declared his earnings on the claim form for the last 12 months as £94,000 from BLUE Ltd and £33,000 from property.



Policy Definition of Earnings/Income

Employed:

- *Basic salary in the 12 months immediately preceding date of incapacity, plus any fluctuating emoluments averaged over 3 years.*

Self- Employed:

- *Average annual taxable income after deduction of business expenditure as permitted by Inland revenue over the 3 complete financial years immediately prior to incapacity.*



Lets Discuss the Following

- Is the Claimant classed as employed or self –employed?
- Based on this decision, what initial financial information would you ask for?
- What questions would you ask the claimant?
- What research would you do?



Summary of Personal Income Tax Returns

Individual Tax Return	YE 5 April		
	2019	2020	2021
Employment Income	-	-	-
Property	£16,625.00	£15,911.00	£23,239.62
Pension Payments	£3,600.00	£3,600.00	£3,600.00
Extra Pension	£7,261.05	£7,261.05	£7,261.05
<u>Dividends</u>			
GREEN Ltd. (Gross)	£13,333.33 (31/05/12)	£12,777.78 (31/05/13)	
YELLOW Ltd. (Gross)	£67,777.78 (31/05/12)		
<u>Capital Gains on Share Sale</u>			
RED Ltd		£380,000.00	
ORANGE Ltd		£285,000.00	



Company – BLUE Ltd - P&L Summary

	2018	2019	2020	2021
Claimant Shareholding	100%	100%	100%	100%
Turnover	£ 830,766.00	£ 777,731.00	£ 725,392.00	£ 1,826,044.00
Profit/Loss Ordinary Activities	£ 11,633.00	£ -2,351.00	£ -83,477.00	£ 92,469.00
Tax	£ -4,439.00	£ -	£ -	£ -
Profit/Loss Post Tax	£ 7,294.00	£ -2,351.00	£ -	£ 92,469.00
Dividends Paid	£ -	£ -	£ -	£ -



Summary of Company P&Ls

	RED Ltd.	ORANGE Ltd.	INDIGO Ltd.	YELLOW Ltd. (YE	GREEN Ltd.	BLUE Ltd.	VIOLET Ltd.	WHITE Ltd.
YEAR ENDED 2018	(YE 31/12)	(YE 31/12)	(YE 31/5)	31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)
Claimant Shareholding	100%	100%	100%	100%	100%	100%	100%	100%
Turnover	£3,161,223.00	£545,137.00	£74,977.00	£686,484.00	£279,906.00	£830,766.00		
Profit/Loss on ordinary Activities	-£33,438.00	-£13,374.00	£10,239.00	-£5,988.00	£14,373.00	£11,633.00		
Tax	-	-	-£2,530.00	-£480.00	-£2,892.00	-£4,439.00		
Profit/Loss on ordinary Activities Post Tax	-£33,438.00	£13,374.00	£7,709.00	-£6,468.00	£11,481.00	£7,194.00		
Accumulated Profit								
Dividends Paid	-	-	-	£61,000.00	£11,500.00	-		
YEAR ENDED 2019	RED Ltd.	ORANGE Ltd.	INDIGO Ltd.	YELLOW Ltd. (YE	GREEN Ltd.	BLUE Ltd.	VIOLET Ltd.	WHITE Ltd.
	(YE 31/12)	(YE 31/12)	(YE 31/5)	31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)
Claimant Shareholding	100%	100%	100%	100%	100%	100%	100%	100%
Turnover	£3,029,240.00	£2,484,188.00	£148,214.00	£738,511.00	£287,648.00	£777,731.00		
Profit/Loss on ordinary Activities	£53,952.00	£108,129.00	£27,963.00	£29,957.00	£14,446.00	-£2,351.00		
Tax	-	-£21,169.00	-£5,592.00	-£7,629.00	-£2,893.00	-£1,684.00		
Profit/Loss on ordinary Activities Post Tax	£53,952.00	£86,960.00	£22,371.00	£22,328.00	£11,553.00	-£4,035.00		
Accumulated Profit								
Dividends Paid	-	-	£25,000.00	-	£11,500.00	-		
YEAR ENDED 2020	RED Ltd.	ORANGE Ltd.	INDIGO Ltd.	YELLOW Ltd. (YE	GREEN Ltd.	BLUE Ltd.	VIOLET Ltd.	WHITE Ltd.
	(YE 31/12)	(YE 31/12)	(YE 31/5)	31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)
Claimant Shareholding	100%	100%	100%	100%	100%	100%	100%	100%
Turnover			£165,737.00	£564,434.00	£270,648.00	£725,392.00		
Profit/Loss on ordinary Activities			£930.00	-£9,192.00	£2,874.00	-£83,477.00		
Tax			-£202.00	£3,242.00	-£579.00	£1,692.00		
Profit/Loss on ordinary Activities Post Tax			£728.00	-£5,950.00	£2,295.00	-£81,785.00		
Accumulated Profit								
Dividends Paid			-	-	-	-		
YEAR ENDED 2021	RED Ltd.	ORANGE Ltd.	INDIGO Ltd.	YELLOW Ltd. (YE	GREEN Ltd.	BLUE Ltd.	VIOLET Ltd.	WHITE Ltd.
	(YE 31/12)	(YE 31/12)	(YE 31/5)	31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)	(YE 31/5)
Claimant Shareholding	100%	100%	100%	100%	100%	100%	100%	100%
Turnover				£213,165.00		£1,826,044.00	£49,994.00	£47,998.00
Profit/Loss on ordinary Activities				-£10,672.00		£92,469.00	£4,134.00	£2,138.00
Tax				-£433.00		-	-£826.00	-£428.00
Profit/Loss on ordinary Activities Post Tax				£11,105.00		£92,469.00	£3,306.00	£1,710.00
Accumulated Profit								



Some Key Takeaways

- If the claimant has multiple business entities, care must be taken in assessing the evidence.
- Always consider a Companies House search.
- What shareholding does the claimant have?
- Is what the claimant tells you consistent with what the evidence shows?
- Does the income we are asked to consider all fall within the correct period as per the relevant policy definition?
- Take care to assess when dividends were actually paid. It is quite usual that the tax period and accounting period do not match, therefore it is important to understand what has been paid and when, to achieve an accurate reflection of pre-incapacity income.



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